Luvi Luvian

SAFE Setup Guide

Playbook for raising early capital via Y Combinator SAFEs before a priced seed round. Covers structure, terms, conversion math, runway analysis, and the legal checklist to close quickly.

Target: $500K - $2M | Post-money SAFE | 80% founder retention target

01 Why SAFE, Why Now

CURRENT STAGE

Pre-revenue

Product built, no paying customers yet

TEAM

3 people

Founder + SW engineer + PM

NEED

Bridge to Seed

Get to first customers, then raise a priced round

Why SAFE over a priced round right now

- No revenue data to justify a valuation - pricing equity now means either undervaluing or overselling
- Close in days, not months - standard YC docs, minimal legal fees ($0-2K)
- No board seats, no control provisions, no quarterly board meetings yet
- Investors get a fair deal at conversion when there is real traction to price against
- Lets you focus on building, not negotiating term sheets

What the SAFE buys you

- **12-18 months** of runway to reach first paying customers
- **SOC 2 Type 1** initiated (unblocks enterprise pipeline)
- **5 design partners** generating usage data and testimonials
- **First revenue** ($100K+ ARR target) to price the seed properly
- **2 provisional patents** filed (IP protection before going public)

02 Recommended SAFE Structure

Recommended

Post-Money SAFE with Valuation Cap

Document	YC Post-Money SAFE
Valuation cap	$6M - $10M
Discount	None (cap only)
Pro-rata	Side letter for $100K+ checks
MFN	Yes (standard in YC SAFE)
Total raise	**$500K - $2M**

How Post-Money SAFE Works

1. You sign the SAFE

Investor wires $X. You get money immediately. No shares are issued. No valuation is set. It is not debt.

2. You build and hit milestones

Use the money for team, SOC 2, design partners, first revenue. Get to a position where you can price a real seed round.

3. SAFE converts at the priced round

When you raise a priced seed (Series Seed Preferred), the SAFE converts to equity at the lower of: the cap price or the seed price. Early investors get rewarded for the risk.

Post-money vs. pre-money: The YC post-money SAFE means the cap includes the SAFE money itself. So a $100K SAFE at a $8M cap means the investor owns exactly $100K / $8M = 1.25% at conversion, regardless of how many other SAFEs you sell. This makes dilution math simple and predictable for both sides.

03 SAFE Partners

Strategy: Close the first two SAFEs with strategic partners who bring more than capital. Nominal provides design-partner access and credibility with hardware/defense buyers. AIX Ventures (Krish) brings pre-seed fund conviction, AI thesis alignment, and a warm relationship.

SAFE #1 Strategic T1: Immediate

Nominal

Cameron McCord · Co-founder / CEO

SAFE amount	**$200K**
Valuation cap	$8M
Ownership at cap	2.50%
Pro-rata	Side letter (yes)
MFN	Yes

STRATEGIC VALUE

- Design partner (data infra for hardware)
- Defense/aero customer intros
- Applied Intuition network
- Anduril credibility

Why Nominal first: Cameron understands the upstream design intent problem from Applied Intuition. Nominal is building data infrastructure for hardware teams — the exact buyer persona for Luvian. A SAFE from Nominal's CEO signals product-market credibility to every subsequent investor.

SAFE #2 Pre-seed Fund T1: Immediate

AIX Ventures

Krish Ramadurai · Partner

SAFE amount	**$250K**
Valuation cap	$8M
Ownership at cap	3.13%
Pro-rata	Side letter (yes)
MFN	Yes

STRATEGIC VALUE

$252M AUM · 5x Fund I TVPI · AI-first thesis alignment · Harvard + defense network · Personal relationship

Why Krish second: You know him personally. AIX Ventures invests at the AI+infrastructure intersection — Luvian is squarely in their thesis. A pre-seed fund check validates the opportunity for other investors and creates a 1-2 punch after the Nominal strategic signal.

SAFE Partner Summary

#	Partner	Contact	Amount	Cap	% at Cap	Type	Status
1	**Nominal**	Cameron McCord (CEO)	$200K	$8M	2.50%	Strategic	In conversation
2	**AIX Ventures**	Krish Ramadurai (Partner)	$250K	$8M	3.13%	Pre-seed fund	Friday intro
Subtotal (Partners 1 + 2)			**$450K**	**$8M**	**5.63%**		

COMBINED SAFE

$450K

Nominal $200K + AIX $250K

COMBINED DILUTION

5.63%

At $8M post-money cap

FOUNDER RETAINS

80.22%

(94.37% × 85% founder share)

Sequencing: Close Nominal first (Cameron call is tomorrow). His SAFE signals to Krish that a domain expert is already in. Plant the seed with Krish at his birthday on Friday, then follow up with a formal ask the following week. Target: both SAFEs signed within 3-4 weeks.

04 Founder 80% Retention Analyzer

Model different check sizes and caps to find the sweet spot where you retain **80%+ ownership** after SAFE conversion. The math: with 85% founder shares at founding and 15% ESOP, your post-SAFE ownership = `(1 − total_SAFE%) × 85%`.

✓ **80% Target Met**

You retain 80.22% ownership with these settings

Max SAFE to retain 80%

$470K

at current cap

Nominal (Cameron): **$200K**

$0 $500K

AIX / Krish: **$250K**

$0 $500K

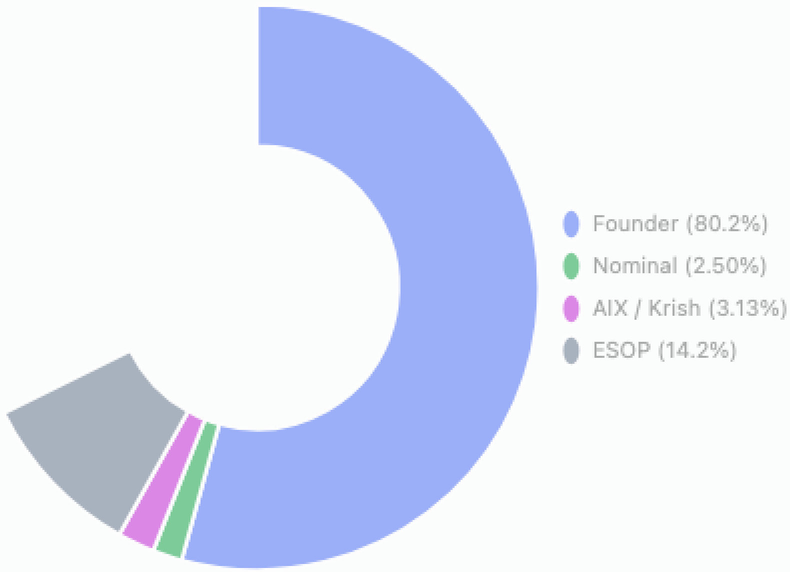
Additional SAFEs: **$0K**

$0 $1.5M

Valuation Cap: **$8M**

$4M

Ownership After SAFE Conversion



Breakdown

Total SAFE raised: **$450K**

Total SAFE dilution: **5.63%** (max 5.88% for 80%)

Founder ownership: **80.22%**

ESOP pool: **14.16%**

Breakdown:

- Nominal: $200K = 2.50%
- AIX / Krish: $250K = 3.13%

Headroom to 80%: **+$20K**

Max SAFE at $8M cap: **$470K**

80% Retention Sensitivity: Max Total SAFE by Cap

Valuation Cap	Max SAFE for 80%	Max SAFE %	Nom $200K + AIX $250K fits?	Remaining capacity
$6M	$353K	5.88%	No ($450K > $353K)	-$97K over
$7M	$412K	5.88%	No ($450K > $412K)	-$38K over
$8M	**$470K**	**5.88%**	**Yes ($450K < $470K)**	**$20K left**
$9M	$529K	5.88%	Yes	$79K left
$10M	$588K	5.88%	Yes	$138K left
$12M	$706K	5.88%	Yes	$256K left

Max SAFE % for 80% founder retention = 5.88% (derived from: founder needs ≥80%, founder share at founding is 85%, so $(1 - x) \times 0.85 \geq 0.80 \rightarrow x \leq 5.88\%$).

Key insight: At an $8M cap, the Nominal ($200K) + AIX ($250K) = $450K combination just barely fits under the $470K ceiling for 80% retention. This leaves only $20K of headroom for additional small SAFEs. To add more SAFE capacity while keeping 80%, you need to either raise the cap (e.g. $10M gives $138K of headroom) or reduce check sizes.

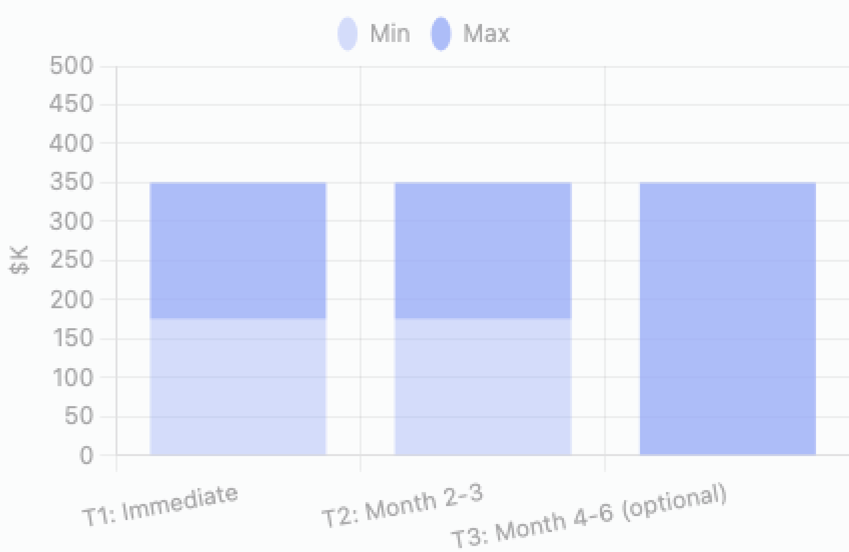
05 Key Terms Explained

Term	What it means	Luvian recommendation
Valuation Cap	Maximum valuation at which the SAFE converts to equity. Protects the investor if your next round is priced much higher.	**$6M - $10M** $8M sweet spot. Low enough to reward risk, high enough to avoid excessive dilution.
Discount Rate	Percentage discount on the next round's price. Alternative or addition to a cap.	**None (cap only)** Cap-only is simpler and standard for most pre-seed SAFEs. Avoids double-dipping.
MFN (Most Favored Nation)	If you issue a later SAFE with better terms, earlier SAFE holders can adopt those terms.	**Yes (default in YC SAFE)** Standard. Protects early investors. No reason to remove.

Term	What it means	Luvian recommendation
Pro-Rata Rights	Right to invest proportionally in the next round to maintain ownership %.	**Side letter for $100K+** Both Nominal and AIX qualify at their check sizes.
Information Rights	Right to receive company updates and financials.	**Quarterly updates only** Standard investor update email. No board seat, no monthly financials.
Conversion Trigger	The event that converts the SAFE into equity.	**Equity financing (priced round)** Converts when you raise a priced seed of $1M+ (or the threshold you set).

06 Fundraising Tranche Plan

Raise Targets by Tranche

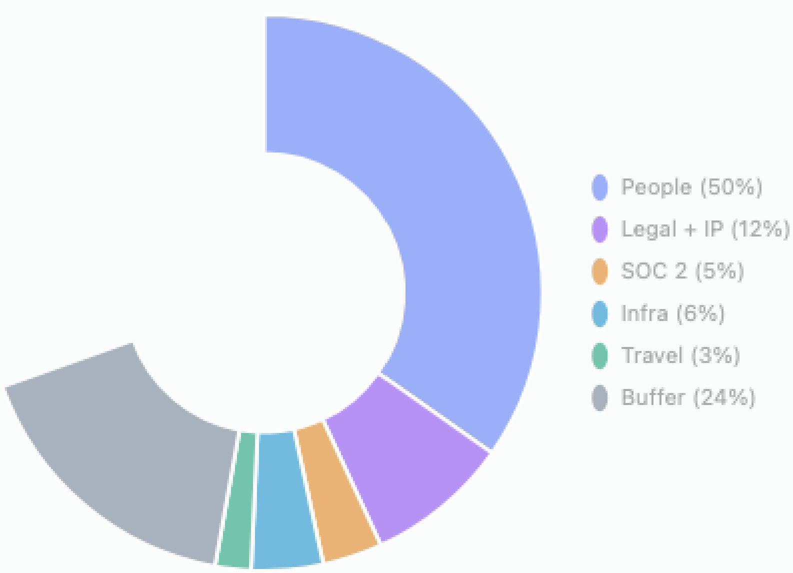


Tranche Schedule

Tranche	Amount	Source	Unlocks
T1: Immediate	$250K - $500K	Nominal + AIX Ventures + angels	Founder salary, 1 contractor, SOC 2 start, legal (IP filing)
T2: Month 2-3	$250K - $500K	Pre-seed funds, strategics	First 2 hires (sales + solutions eng), design partner outreach
T3: Month 4-6	$0 - $1M	Oversubscription, follow-on	Extend runway, accelerate hiring if demand supports it

Use of Funds by Category

Category	Min ($500K)	Max ($2M)
People (founder + first hires)	$280K	$1,000K
Legal (IP, entity, contracts)	$50K	$100K
SOC 2 Type 1	$30K	$50K
Infrastructure and tooling	$30K	$80K
Patent filings (2 provisionals)	$15K	$30K
Travel, conferences, events	$15K	$50K
Buffer (3-month reserve)	$80K	$690K
Total	**$500K**	**$2,000K**



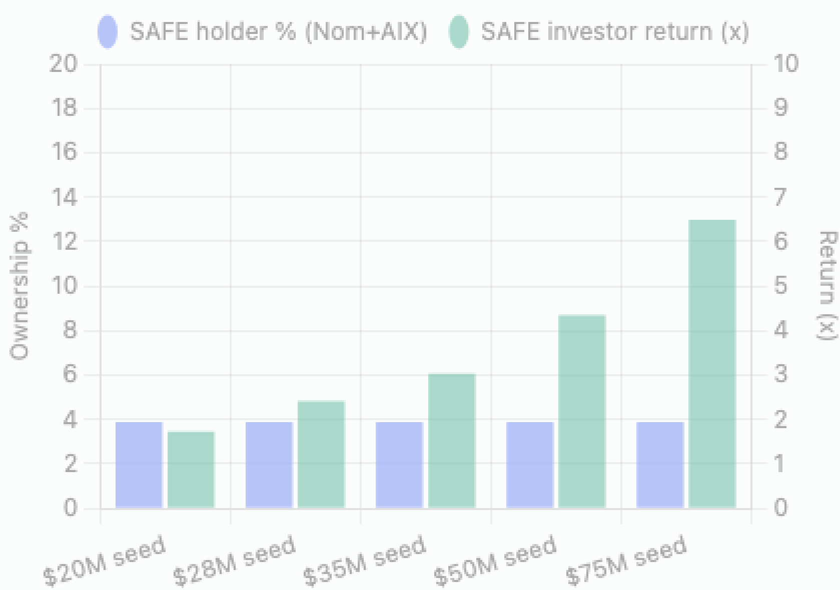
07 SAFE Conversion Scenarios

How $450K in SAFEs (Nominal + AIX) converts at different seed valuations

Seed Pre-Money	SAFE converts at	SAFE holders get	Founder post-SAFE	SAFE investor return
$6M (below cap)	$6M (seed price)	5.63%	~80.2%	1.0x (no premium)
$8M (at cap)	**$8M (cap price)**	**5.63%**	**~80.2%**	**1.0x**
$20M	$8M (cap kicks in)	5.63%	~80.2%	2.5x
$28M (seed target)	$8M (cap kicks in)	5.63%	~80.2%	3.5x
$50M	$8M (cap kicks in)	5.63%	~80.2%	6.3x

Post-money SAFE: SAFE holders always get $450K / $8M cap = 5.63% at conversion, regardless of the seed valuation. The higher the seed price, the better the return for SAFE investors on paper.

SAFE Holder Ownership at Conversion



08 Full Dilution Simulator

Model the full picture: SAFE conversion + seed round + ESOP. See how everything stacks through to the priced round.

Total SAFE Raised: **$450K**

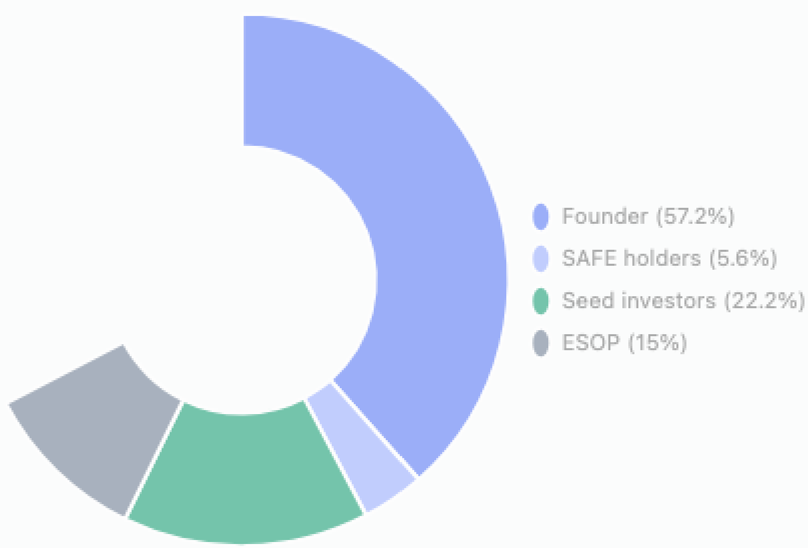
Valuation Cap: **$8M**

Seed Pre-Money: **$28M**

Seed Raise: **$8M**

ESOP Pool: **15%**

Post-Seed Ownership



Results

SAFE converts at: **$8M** (cap)

Founder ownership: **57.2%**

Founder value (post-seed): **$20.6M**

Total SAFE dilution: **5.6%**

SAFE investor return at seed: **3.5x**

Total raised (SAFE + seed): **$8.4M**

09 Burn Rate and Runway

LEAN BURN (FOUNDER ONLY)

$15K/mo

Salary + infra + minimal legal

GROWTH BURN (TEAM OF 5)

$65K/mo

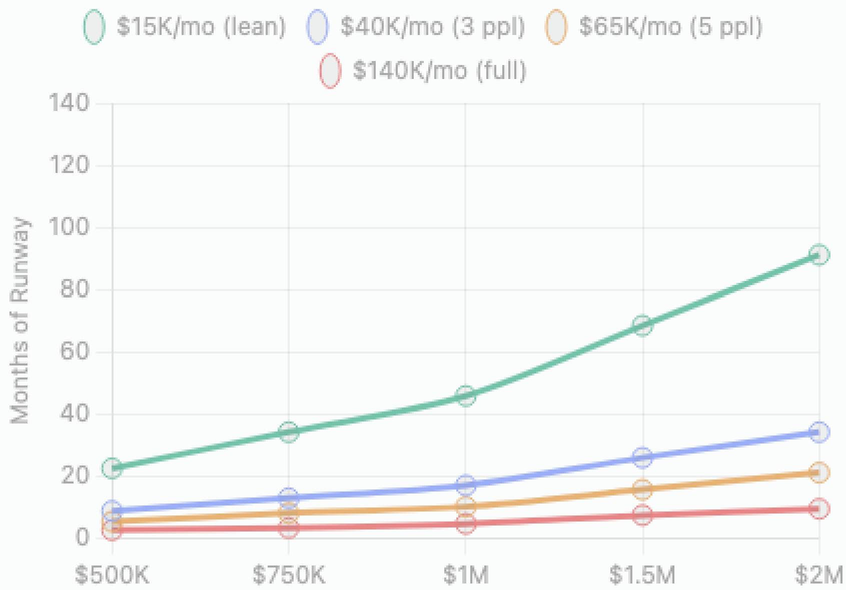
3 salaries + SOC 2 + infra + legal

FULL BURN (TEAM OF 8)

$140K/mo

Per financial model Y1 ($1.72M / 12)

Runway by SAFE Amount and Burn Rate



Runway Matrix (months)

Monthly Burn	$500K	$750K	$1M	$1.5M	$2M
$15K (lean)	33 mo	50 mo	67 mo	100 mo	133 mo
$40K (3 people)	13 mo	19 mo	25 mo	38 mo	50 mo
$65K (5 people)	8 mo	12 mo	15 mo	23 mo	31 mo
$100K (6-7 people)	5 mo	8 mo	10 mo	15 mo	20 mo
$140K (full Y1 plan)	4 mo	5 mo	7 mo	11 mo	14 mo

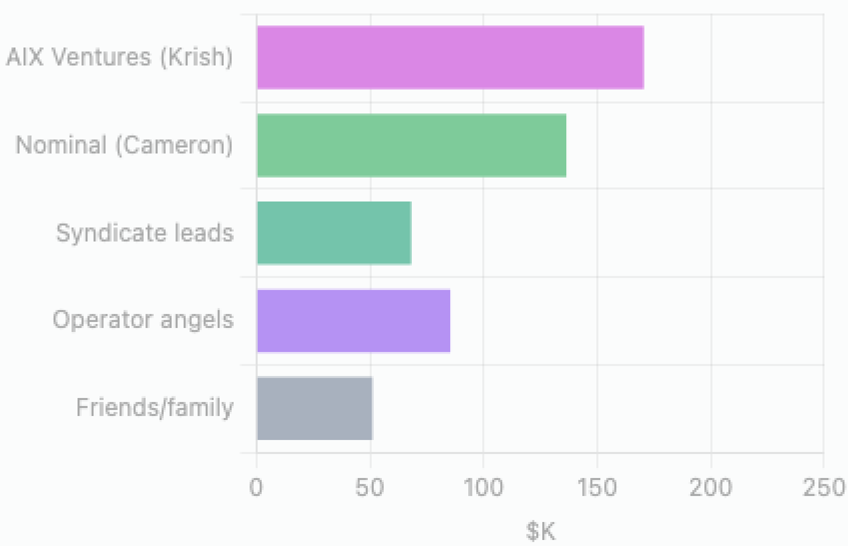
Green = 15+ months (comfortable). Amber = 8-14 months (tight). Red = under 8 months (risky).

Recommended path: Raise $750K-$1M via SAFEs. Start at lean burn ($15K/mo) for months 1-2, ramp to $40K/mo with first hires, then $65K/mo by month 4. This gives 15-18 months of runway, enough to reach first revenue and raise a priced seed from a position of strength.

10 Investor Targets for SAFE Round

Investor Type	Check Size	# Needed	Why they write SAFE checks	Examples
Operator angels	$10K - $50K	5-10	Fast decisions, personal conviction, can advise on domain	Former PLM/MBSE founders, defense PMs, enterprise SaaS execs
Syndicate leads	$50K - $200K	2-3	Pool money from their network, create social proof	AngelList syndicates focused on B2B, defense, or deep-tech
Pre-seed funds	**$100K - $500K**	**1-2**	Specialize in pre-product/pre-revenue, thesis-driven	**AIX Ventures (Krish), Decisive Point, Humba Ventures**
Strategic angels	**$25K - $250K**	**2-4**	Domain credibility, customer intros, standards body connections	**Nominal (Cameron), INCOSE fellows, defense execs**
Friends and family	$5K - $25K	3-5	Personal trust, fastest close, no diligence friction	Network, former colleagues, mentors

Target Mix (for $750K raise)



11 SAFE vs. Alternatives

	SAFE (recommended)	Convertible Note	Priced Seed	Revenue / Bootstrap
Legal cost	$0 - $2K	$3K - $10K	$15K - $40K	$0
Time to close	1-3 days	1-2 weeks	4-12 weeks	N/A
Complexity	Low (standard doc)	Medium (interest, maturity)	High (full term sheet)	None
Is it debt?	No	Yes (must repay if no round)	No	No
Board seat	No	Usually no	Yes (lead investor)	No
Dilution clarity	Post-money: exact %	Unclear until conversion	Known immediately	0%
Investor familiarity	Very high (YC standard)	High	High	N/A
When to use	Pre-revenue, need speed	Avoid unless investors insist	Have traction, want governance	Have revenue or savings

12 Legal Checklist

Before signing your first SAFE

- ☐ **Delaware C-Corp formed**
  Not an LLC. VCs require C-Corp. Use Stripe Atlas, Clerky, or a startup lawyer.
- ☐ **83(b) election filed** (if applicable)
  Must be filed within 30 days of restricted stock grant. Cannot be undone.
- ☐ **IP assignment agreements signed**
  All code contributors (founder, SW engineer, PM, any contractors) must sign CIIA.
- ☐ **Board resolution authorizing SAFEs**
  Even a single-founder board. Document the authorization to issue SAFEs up to $X.
- ☐ **Company bank account open**
  Mercury, Brex, or SVB. Must be the corp account, not personal.

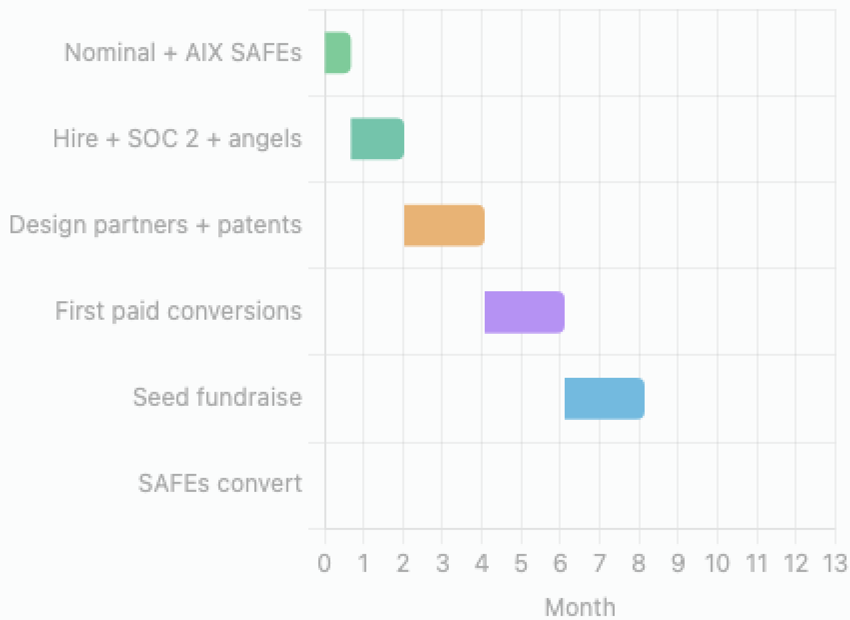
- [ ] **EIN obtained**
  Federal tax ID from IRS. Required to open bank accounts and file taxes.

To close each individual SAFE

- [ ] **Download YC SAFE template**
  ycombinator.com/documents - "Post-Money SAFE" - Valuation Cap, No Discount.
- [ ] **Fill in 4 fields**
  Company name, investor name, purchase amount, valuation cap. That is the entire negotiation.
- [ ] **Sign via DocuSign or HelloSign**
  Both parties sign. No notarization needed.
- [ ] **Wire transfer or ACH received**
  Money hits the company bank account. SAFE is now effective.
- [ ] **Log in SAFE tracker**
  Record: date, investor, amount, cap, MFN, pro-rata. Use Pulley, Carta, or a spreadsheet.
- [ ] **Send confirmation email**
  Thank investor, attach signed copy, set expectation for quarterly updates.

Common mistakes to avoid: (1) Issuing SAFEs from an LLC instead of a C-Corp. (2) Forgetting the 83(b) election. (3) Using a pre-money SAFE template when you mean post-money. (4) Not tracking total SAFE dollars outstanding. (5) Giving different caps to different investors without MFN clauses.

13 SAFE to Seed Timeline



Milestone Roadmap

Month	Milestone	Fundraising Activity	Key Metric
0-1	Corp setup, IP assignments, first SAFE conversations	Close Nominal + AIX SAFEs ($450K)	SAFE docs signed, money in bank
2-3	First 2 hires, SOC 2 kickoff, 2 design partners signed	Additional angels if headroom allows	Team of 5, SOC 2 in progress
4-6	5 design partners, provisional patents filed, first demos	Optional T2/T3 if oversubscribed	5 active logos, 2 patents filed
7-9	First paid conversions, SOC 2 Type 1 complete	Begin seed outreach	$50K+ ARR, SOC 2 in hand
10-12	3+ paying customers, clear pipeline, NPS > 40	Close priced seed ($7-10M)	$100K+ ARR, NRR > 100%
12	**SAFEs convert to equity at priced seed**	**Seed closed, SAFEs convert**	**Founder retains ~50-55% (post-seed + ESOP)**

14 Templates and Resources

YC SAFE Templates

Official post-money SAFE documents from Y Combinator. Download the "Valuation Cap, No Discount" version.

ycombinator.com/documents →

YC SAFE Guide

Y Combinator's official guide explaining how SAFEs work, when to use them, and the math behind conversion.

ycombinator.com/library →

Captable.io

Free cap table modeling tool. Excellent for modeling SAFE conversion scenarios before your first priced round.

captable.io →

Pulley (Cap Table Management)

Free for early-stage startups. Track SAFEs, model conversions, issue options, manage the full cap table.

pulley.com →

SAFE Tracker

Date	Investor	Amount	Cap	MFN	Pro-Rata	% at Cap	Notes
2026-04-XX	**Nominal (Cameron McCord)**	**$200K**	$8M	Yes	Side letter	**2.50%**	Strategic — design partner, defense intros
2026-04-XX	**AIX Ventures (Krish Ramadurai)**	**$250K**	$8M	Yes	Side letter	**3.13%**	Pre-seed fund — AI thesis, personal relationship
2026-XX-XX	[Additional]	$XXK	$8M	Yes	TBD	X.X%	[Intro source]
Total (committed)		**$450K**				**5.63%**	**Founder retains 80.2%**

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